2020

ANNUAL REPORT

To our shareowners:

In Amazon's 1997 letter to shareholders, our first, I talked about our hope to create an "enduring franchise," one that would reinvent what it means to serve customers by unlocking the internet's power. I noted that Amazon had grown from having 158 employees to 614, and that we had surpassed 1.5 million customer accounts. We had just gone public at a split-adjusted stock price of $1.50 per share. I wrote that it was Day 1.

We've come a long way since then, and we are working harder than ever to serve and delight customers. Last year, we hired 500,000 employees and now directly employ 1.3 million people around the world. We have more than 200 million Prime members worldwide. More than 1.9 million small and medium-sized businesses sell in our store, and they make up close to 60% of our retail sales. Customers have connected more than 100 million smart home devices to Alexa. Amazon Web Services serves millions of customers and ended 2020 with a $50 billion annualized run rate. In 1997, we hadn't invented Prime, Marketplace, Alexa, or AWS. They weren't even ideas then, and none was preordained. We took great risk with each one and put sweat and ingenuity into each one.

Along the way, we've created $1.6 trillion of wealth for shareowners. Who are they? Your Chair is one, and my Amazon shares have made me wealthy. But more than 7/8ths of the shares, representing $1.4 trillion of wealth creation, are owned by others. Who are they? They're pension funds, universities, and 401(k)s, and they're Mary and Larry, who sent me this note out of the blue just as I was sitting down to write this shareholder letter:

March 5, 2021

Mr. Jeff Bezos
Executive Chairman
Amazon.com, Inc.
410 Terry Avenue North
Seattle, WA 98109

Dear Mr. Bezos,

Thanks for making Amazon a great company! We thought you would like to know how it has benefited our family.

Back in 1997 when you made Amazon public, our son, Ryan, was 12 years old and a voracious reader. For his birthday, , 1997, we bought two shares of your new book selling company, which was all we could afford at the time. Within a year or so, the shares split 2 for 1, then 3 for 1, then 2 for 1 again, giving him 24 shares. The shares were in our names because of his age. We meant to put it in custody for him but we never got around to it but he knew they were for him.

Several times over the years, Ryan would want to cash in the stock but we always said we would "buy" it from him and then eventually turn around and give it back to him as a "gift". It was kind of a running joke in the family.

Due to the exponential growth in value, we decided to split the stock between ourselves and both of our children, Ryan and Katy.

This year Ryan is buying a house and would like to sell some shares. After searching for the original certificates, we needed to convert the paper shares into digital before selling them. We noticed that the first share certificate was a very low number, issue # . I can't image how many more shares have been issued since that date!

Included is a copy of the th certificate of Amazon on , 1997 - 24 years ago. Those two shares have had a wonderful influence on our family. We all enjoyed watching Amazon value grow year after year and it's a story we love to tell others.

Congratulations on a great career as CEO of Amazon. We can't even imagine how hard you and your team have worked to make Amazon the most successful and inventive company on the planet. Now may you have time to relax and catch up on things you want to do, like space exploration!

We cannot wait to see where Amazon delivers next! Next Day to Mars!

Sincerely,

Mary and Larry

Mary and Larry

P.S. We wished we had bought 10 shares!

AMAZON.COM, INC.

CONSOLIDATED STATEMENTS OF CASH FLOWS
(in millions)

	Year Ended December 31,		
	2018	2019	2020
CASH, CASH EQUIVALENTS, AND RESTRICTED CASH, BEGINNING OF PERIOD	$ 21,856	$ 32,173	$ 36,410
OPERATING ACTIVITIES:			
Net income	10,073	11,588	21,331
Adjustments to reconcile net income to net cash from operating activities:			
Depreciation and amortization of property and equipment and capitalized content costs, operating lease assets, and other	15,341	21,789	25,251
Stock-based compensation	5,418	6,864	9,208
Other operating expense (income), net	274	164	(71)
Other expense (income), net	219	(249)	(2,582)
Deferred income taxes	441	796	(554)
Changes in operating assets and liabilities:			
Inventories	(1,314)	(3,278)	(2,849)
Accounts receivable, net and other	(4,615)	(7,681)	(8,169)
Accounts payable	3,263	8,193	17,480
Accrued expenses and other	472	(1,383)	5,754
Unearned revenue	1,151	1,711	1,265
Net cash provided by (used in) operating activities	30,723	38,514	66,064
INVESTING ACTIVITIES:			
Purchases of property and equipment	(13,427)	(16,861)	(40,140)
Proceeds from property and equipment sales and incentives	2,104	4,172	5,096
Acquisitions, net of cash acquired, and other	(2,186)	(2,461)	(2,325)
Sales and maturities of marketable securities	8,240	22,681	50,237
Purchases of marketable securities	(7,100)	(31,812)	(72,479)
Net cash provided by (used in) investing activities	(12,369)	(24,281)	(59,611)
FINANCING ACTIVITIES:			
Proceeds from short-term debt, and other	886	1,402	6,796
Repayments of short-term debt, and other	(813)	(1,518)	(6,177)
Proceeds from long-term debt	182	871	10,525
Repayments of long-term debt	(155)	(1,166)	(1,553)
Principal repayments of finance leases	(7,449)	(9,628)	(10,642)
Principal repayments of financing obligations	(337)	(27)	(53)
Net cash provided by (used in) financing activities	(7,686)	(10,066)	(1,104)
Foreign currency effect on cash, cash equivalents, and restricted cash	(351)	70	618
Net increase (decrease) in cash, cash equivalents, and restricted cash	10,317	4,237	5,967
CASH, CASH EQUIVALENTS, AND RESTRICTED CASH, END OF PERIOD	$ 32,173	$ 36,410	$ 42,377

See accompanying notes to consolidated financial statements.

AMAZON.COM, INC.

CONSOLIDATED STATEMENTS OF OPERATIONS
(in millions, except per share data)

	Year Ended December 31,		
	2018	2019	2020
Net product sales	$ 141,915	$ 160,408	$ 215,915
Net service sales	90,972	120,114	170,149
Total net sales	232,887	280,522	386,064
Operating expenses:			
Cost of sales	139,156	165,536	233,307
Fulfillment	34,027	40,232	58,517
Technology and content	28,837	35,931	42,740
Marketing	13,814	18,878	22,008
General and administrative	4,336	5,203	6,668
Other operating expense (income), net	296	201	(75)
Total operating expenses	220,466	265,981	363,165
Operating income	12,421	14,541	22,899
Interest income	440	832	555
Interest expense	(1,417)	(1,600)	(1,647)
Other income (expense), net	(183)	203	2,371
Total non-operating income (expense)	(1,160)	(565)	1,279
Income before income taxes	11,261	13,976	24,178
Provision for income taxes	(1,197)	(2,374)	(2,863)
Equity-method investment activity, net of tax	9	(14)	16
Net income	$ 10,073	$ 11,588	$ 21,331
Basic earnings per share	$ 20.68	$ 23.46	$ 42.64
Diluted earnings per share	$ 20.14	$ 23.01	$ 41.83
Weighted-average shares used in computation of earnings per share:			
Basic	487	494	500
Diluted	500	504	510

See accompanying notes to consolidated financial statements.

AMAZON.COM, INC.

CONSOLIDATED BALANCE SHEETS
(in millions, except per share data)

	December 31,	
	2019	2020
ASSETS		
Current assets:		
Cash and cash equivalents	$ 36,092	$ 42,122
Marketable securities	18,929	42,274
Inventories	20,497	23,795
Accounts receivable, net and other	20,816	24,542
Total current assets	96,334	132,733
Property and equipment, net	72,705	113,114
Operating leases	25,141	37,553
Goodwill	14,754	15,017
Other assets	16,314	22,778
Total assets	$ 225,248	$ 321,195
LIABILITIES AND STOCKHOLDERS' EQUITY		
Current liabilities:		
Accounts payable	$ 47,183	$ 72,539
Accrued expenses and other	32,439	44,138
Unearned revenue	8,190	9,708
Total current liabilities	87,812	126,385
Long-term lease liabilities	39,791	52,573
Long-term debt	23,414	31,816
Other long-term liabilities	12,171	17,017
Commitments and contingencies (Note 7)		
Stockholders' equity:		
Preferred stock, $0.01 par value:		
Authorized shares — 500		
Issued and outstanding shares — none	—	—
Common stock, $0.01 par value:		
Authorized shares — 5,000		
Issued shares — 521 and 527		
Outstanding shares — 498 and 503	5	5
Treasury stock, at cost	(1,837)	(1,837)
Additional paid-in capital	33,658	42,865
Accumulated other comprehensive income (loss)	(986)	(180)
Retained earnings	31,220	52,551
Total stockholders' equity	62,060	93,404
Total liabilities and stockholders' equity	$ 225,248	$ 321,195

See accompanying notes to consolidated financial statements.

Note 1 — DESCRIPTION OF BUSINESS, ACCOUNTING POLICIES, AND SUPPLEMENTAL DISCLOSURES

Description of Business

We seek to be Earth's most customer-centric company. In each of our segments, we serve our primary customer sets, consisting of consumers, sellers, developers, enterprises, and content creators. We serve consumers through our online and physical stores and focus on selection, price, and convenience. We offer programs that enable sellers to grow their businesses, sell their products in our stores, and fulfill orders through us, and programs that allow authors, musicians, filmmakers, skill and app developers, and others to publish and sell content. We serve developers and enterprises of all sizes through AWS, which offers a broad set of on-demand technology services, including compute, storage, database, analytics, and machine learning, and other services. We also manufacture and sell electronic devices. In addition, we provide services, such as advertising to sellers, vendors, publishers, authors, and others, through programs such as sponsored ads, display, and video advertising.

We have organized our operations into three segments: North America, International, and AWS. See "Note 10 — Segment Information."

Prior Period Reclassifications

Certain prior period amounts have been reclassified to conform to the current period presentation. "Proceeds from short-term debt, and other" were reclassified from "Proceeds from long-term debt and other" and "Repayments of short-term debt, and other" were reclassified from "Repayments of long-term debt and other" on our consolidated statements of cash flows.

Principles of Consolidation

The consolidated financial statements include the accounts of Amazon.com, Inc. and its consolidated entities (collectively, the "Company"), consisting of its wholly-owned subsidiaries and those entities in which we have a variable interest and of which we are the primary beneficiary, including certain entities in India and certain entities that support our seller lending financing activities. Intercompany balances and transactions between consolidated entities are eliminated.

Use of Estimates

The preparation of financial statements in conformity with GAAP requires estimates and assumptions that affect the reported amounts of assets and liabilities, revenues and expenses, and related disclosures of contingent liabilities in the consolidated financial statements and accompanying notes. Estimates are used for, but not limited to, income taxes, useful lives of equipment, commitments and contingencies, valuation of acquired intangibles and goodwill, stock-based compensation forfeiture rates, vendor funding, inventory valuation, collectability of receivables, and valuation and impairment of investments. Given the global economic climate and additional or unforeseen effects from the COVID-19 pandemic, these estimates have become more challenging, and actual results could differ materially from these estimates.

We review the useful lives of equipment on an ongoing basis, and effective January 1, 2020 we changed our estimate of the useful life for our servers from three years to four years. The longer useful life is due to continuous improvements in our hardware, software, and data center designs. The effect of this change in estimate for the year ended December 31, 2020, based on servers that were included in "Property and equipment, net" as of December 31, 2019 and those acquired during the year ended December 31, 2020, was a reduction in depreciation and amortization expense of $2.7 billion and an increase in net income of $2.0 billion, or $4.06 per basic share and $3.98 per diluted share.